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FUND PERFORMANCE

European VC returns outpace US, but market momentum lies across the pond

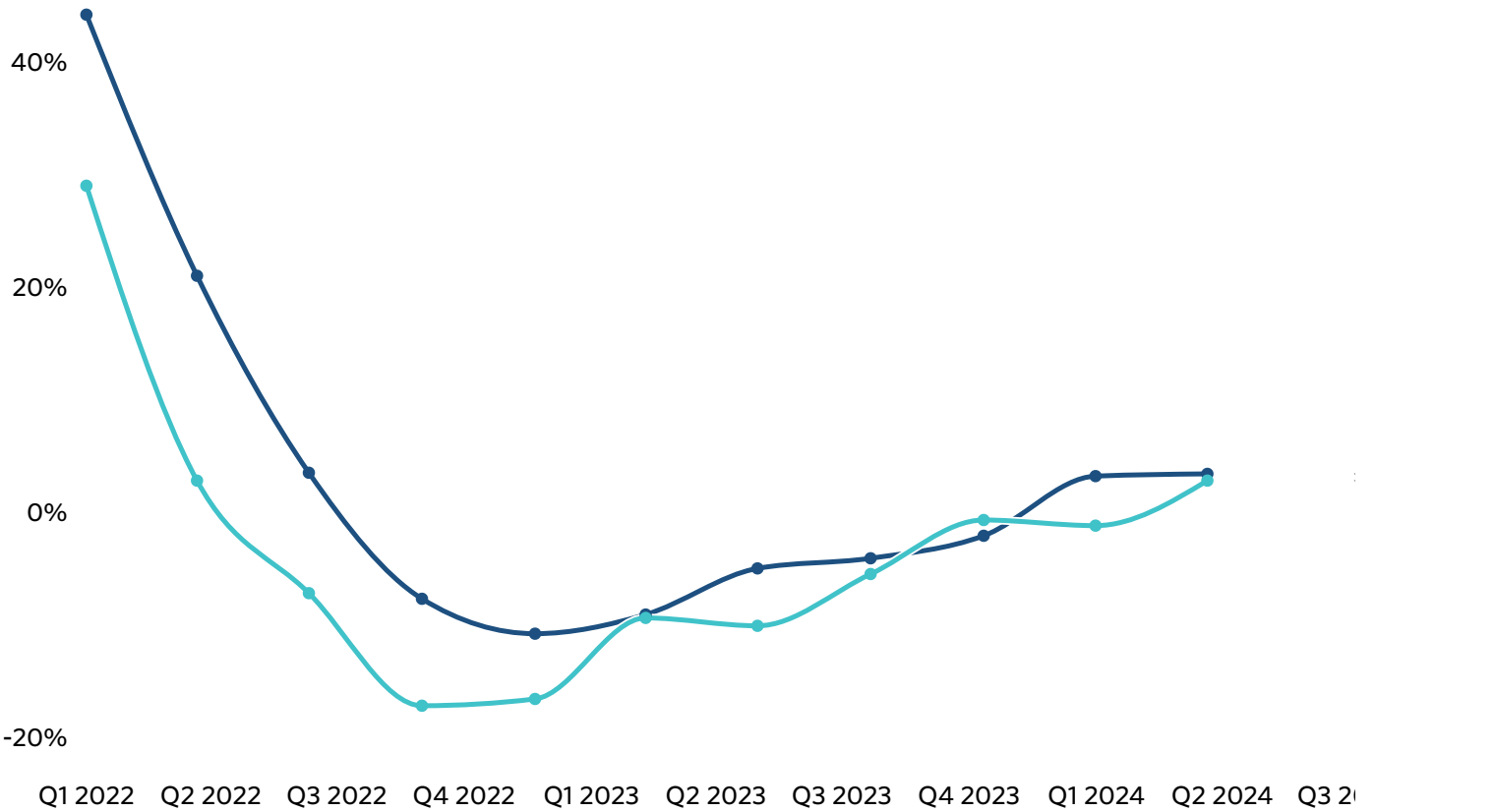
By [Leah Hodgson](#)

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European venture funds outperformed the US in almost every quarter since the start of the VC downturn up to last year, but this trend may be short-lived.

The US has historically generated better returns for LPs due to its much larger size and more developed exit markets. However, according to PitchBook’s [Q2 2025 European Venture Report](#), when rising interest rates and inflation in 2022 put the brakes on VC investing globally, Europe emerged as a safer haven for capital.

European VC IRR outperforms US but gap is narrowing



Source: [Q2 2025 European Venture Report](#)

Looking at rolling one-year IRRs—the internal rate of return over the trailing 12 months, updated each quarter—European vehicles delivered exceptional returns in early 2022 at 44.3% compared to 29.1% in the US.

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As the VC downturn solidified over the year, both regions entered negative territory, but the US fell harder and faster. The US bottomed out at -17.1% in Q4 2022, while Europe hit a

low of -10% in Q1 2023. Europe’s IRRs recovered more quickly, returning to positive territory again in Q2 last year.

The difference in IRRs between US and European funds during this period is partly due to the nature of the two markets.

Related: [Tariffs, exit drought and fundraising woes hold back European VC](#)

European investments tend to focus more on earlier stages, which are more insulated from public market volatility. Valuations are historically lower in Europe and thus were not as harshly corrected when the market turned.

Furthermore, the US exit market, especially IPOs, is a main driver of IRR and was more affected than Europe, which mostly relies on acquisitions.

Dry powder in Europe continued to increase, hitting a record €73 billion (about \$86 billion) in 2024, while it fell in the US to €260.8, signaling the former’s resilience.

Despite Europe’s recent outperformance, it may not last. Exit activity and dealmaking have picked up in the US this year, with both regions pacing to land above 2024 levels. Europe, by contrast, has [yet to see a rebound](#) in either area. While dry powder remains high, deployment continues to be cautious.

The influx of liquidity in the US could lead to higher short-term returns, narrowing or reversing the IRR gap between the two markets.

Featured image by Tomas Ragina/Getty Images

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About [Leah Hodgson](#)

Leah Hodgson is a London-based senior reporter for PitchBook, covering the venture capital ecosystem across Europe and the Middle East. Leah, who joined PitchBook in 2018, graduated from the University of Surrey with a BA in international politics with French. She has previously been a radio reporter in France. She later turned to financial journalism, covering the wealth management industry.

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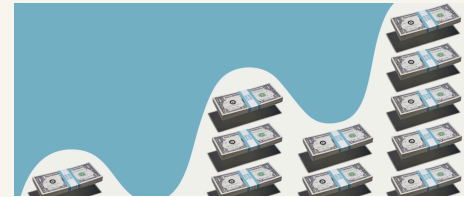


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